a list of recognized SFCSs, and shall update the list periodically thereafter.

6 Within three months after the end of calendar year 2027, and within three months after the end of each following calendar year, the Organization shall ensure that the legal entity administering the recognized SFCS reports data relevant to their activity for that calendar year or portion thereof to ensure transparency, traceability and environmental integrity in the certification process, taking into account guidelines to be developed by the Organization.82 On the basis of the reported data, the Secretary -General of the Organization shall produce an annual report to the Committee.

Regulation 35
Target annual GHG fuel intensity (target annual GFI)

1 The target annual GFI (GFIT) of a ship shall consist of the following two tiers:

.1 a Base target annual GFI (base target); and

.2 a Direct compliance target annual GFI (direct compliance target).

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SOURCE: MEPC.403(83).pdf
1 The target annual GFI (GFIT) of a ship shall consist of the following two tiers:

.1 a Base target annual GFI (base target); and

.2 a Direct compliance target annual GFI (direct compliance target).

2 The GFIT for each ship to which this regulation applies shall be determined/calculated as follows:

GFIT = (1 ZT/100) GFI2008

where

subscript T is the calendar year referred to in Table 4;

GFI2008 is the GFI reference value equivalent to 93.3 gCO 2eq/MJ (well-to-wake), representing the average GFI of international shipping in year 2008; and

ZT is the annual GFI reduction factor to ensure continuous improvement of the ship's GHG fuel intensity, consisting of both an annual reduction factor for the base target and for the direct compliance target, the values of which are specified in Table 4, as compared to the GFI reference value.

79 Refer to guidelines to be developed/amend the 2024 Guidelines on life cycle GHG intensity of marine fuels (resolution MEPC.391(81)) (LCA guidelines), as appropriate.
80 Refer to guidelines to be developed/amend the 2024 Guidelines on life cycle GHG intensity of marine fuels

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SOURCE: MEPC.403(83).pdf
(resolution MEPC.391(81)) (LCA guidelines), as appropriate.
80 Refer to guidelines to be developed/amend the 2024 Guidelines on life cycle GHG intensity of marine fuels

(resolution MEPC.391(81)) (LCA guidelines), as appropriate.

81 Refer to guidelines to be developed/amend the 2024 Guidelines on life cycle GHG intensity of marine fuels (resolution MEPC.391(81)) (LCA guidelines), as appropriate.

82 Refer to guidelines to be developed/amend the 2024 Guidelines on life cycle GHG intensity of marine fuels (resolution MEPC.391(81)) (LCA guidelines), as appropriate.

Table 4 Annual GFI reduction factors (in percentage) for the target annual GFI relative to the GFI reference value

YearT	ZT for Base target	ZT for Direct compliance target
2028	4.0	17.0
2029	6.0	19.0
2030	8.0	21.0
2031	12.4	25.4
2032	16.8	29.8
2033	21.2	34.2
2034	25.6	38.6
2035	30.0	43.0

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SOURCE: MEPC.403(83).pdf

relative to the GFI reference value

YearT ZT for Base target ZT for Direct compliance target
2028 4.0 17.0
2029 6.0 19.0
2030 8.0 21.0
2031 12.4 25.4
2032 16.8 29.8
2033 21.2 34.2
2034 25.6 38.6
2035 30.0 43.0

3 By 1 January 2032, the Committee shall determine the Z-factor (ZT) for the Base target and Direct compliance target for the years 2036 to 2040. The 2040 ZT for the Base target shall be set at 65%.

Regulation 36
Annual GFI compliance approaches

1 At the end of each reporting period as defined in regulation 33, each ship shall determine its GFI compliance balance, as follows, taking into account guidelines to be developed by the Organization:83

GFI compliance balance (expressed in tonnes of CO_2eq) =

(Direct compliance target annual GFI Attained annual GFI) × Energytotal

2 If the GFI compliance balance is equal to or greater than zero, the ship shall be considered in direct compliance and be eligible to receive surplus units for its positive compliance balance in accordance with paragraph 11 of this regulation.

3 If the GFI compliance balance is less than zero, the ship shall determine its

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SOURCE: MEPC.403(83).pdf
considered in direct compliance and be eligible to receive surplus units for its positive compliance balance in accordance with paragraph 11 of this regulation.

3 If the GFI compliance balance is less than zero, the ship shall determine its compliance deficit in accordance with paragraph 4 of this regulation and shall achieve compliance by balancing its deficit in accordance with the GFI compliance approaches in paragraphs 5 and/or 6, as applicable, of this regulation.

Assessment of the compliance deficit

4 A ship's compliance deficit comprises the quantification of emissions in excess of the tier(s) of the target annual GFI and shall be determined as follows, taking into account guidelines to be developed by the Organization:84

.1 for ships whose attained annual GFI is equal to or less than the base target but greater than the direct compliance target:

83 Refer to the guidelines to be developed on the calculation of the attained annual greenhouse gas fuel intensity (GFI Calculation Guidelines).

84 Refer to the guidelines to be developed on the calculation of the attained annual greenhouse gas fuel intensity (GFI Calculation Guidelines).

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SOURCE: MEPC.403(83).pdf
intensity (GFI Calculation Guidelines).

84 Refer to the guidelines to be developed on the calculation of the attained annual greenhouse gas fuel intensity (GFI Calculation Guidelines).

Tier 1 compliance deficit =
(Direct compliance target annual GFI Attained annual GFI) ×
Energytotal,

Or

.2 for ships whose attained annual GFI is greater than the base target:

Tier 1 compliance deficit =
(Direct compliance target annual GFI Base target annual GFI) ×
Energytotal

And

Tier 2 compliance deficit =
(Base target annual GFI Attained annual GFI) × Energytotal

Balance of the compliance deficit

5 A ship shall balance its Tier 1 compliance deficit through remedial units acquired by means of GHG emissions pricing contributions to the IMO Net -Zero Fund, priced at Tier 1 benchmark rates in accordance with paragraph 8 of this regulation, as recorded on the ship

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SOURCE: MEPC.403(83).pdf
means of GHG emissions pricing contributions to the IMO Net -Zero Fund, priced at Tier 1 benchmark rates in accordance with paragraph 8 of this regulation, as recorded on the ship